

TMT: Semiconductors

William Stein, CFA

212-319-3808
William.Stein@truist.com

Elliott Smith, CFA

212-303-4150
Elliott.Smith@truist.com

Aidan Wilson

212-319-3429
Aidan.Wilson@truist.com

Stock Rating

BUY

Unchanged

Price Target

\$148.00

↑
from
\$145.00

TR to Target	17.9%
Price (Aug. 28, 2024)	\$125.61
52-Wk Range	\$135.58-\$40.33
Market Cap (\$M)	\$3,121,157
ADTV	251,603,100
Shares Out (M)	24,848
Short Interest Ratio/% Of Float	1.2%
Dividend/Yield	\$0.04/0.0%
Enterprise Value (\$M)	\$3,094,818
Cash & Equivalents (\$M)	\$34,800
Total Debt (\$M)	\$8,461
ROIC	113.0%
BV/Share	\$2.34
TBV/Share	\$2.12

11 Page Document

Reasons for this report

- ✓ Model Update
- ✓ Updating Estimates and PT
- ✓ EPS Recap Report

NVIDIA Corporation (NVDA)

NVDA: Blackwell "delay" is much ado about nothing; PT to \$148; Buy.

Look through the fog, Buy. On its CQ2 (July) call, NVDA acknowledged it executed a change to Blackwell's design. This appears to be contributing to a near-term hit to GPM and perhaps it prevents revenue growth from being even stronger than it is. Investors should look through this fog and recognize that NVDA beat revenue & EPS expectations for the quarter, and in the outlook. Further, results & commentary reinforce that NVDA's leadership in AI is strong and persistent. CY25 EPS goes to \$3.69 (from \$3.61). PT to \$148 (from \$145) based on 40x EPS (5x discount to hi-growth semi peers). Buy.

- **CQ2 beat; CQ3 guidance above consensus.** In CQ2, NVDA delivered sales of \$30,040m, 4.5% above consensus of \$28,737m. GPM of 75.7% matched consensus; OPM of 66.4% was 70bps above. EPS of \$0.68 was 4c above consensus. NVDA guided Q3 sales to \$32,500m at the midpoint, 2.5% above consensus of \$31,714m. GPM guidance of 75.0% was 50bps below consensus; implied OPM guidance of 65.8% was 10bps below consensus. Implied EPS guidance is \$0.73 at the midpoint, 2c above consensus.
- **Good: Datacenter strength drives another beat and guide higher; flurry of new products show broadening strength.** NVDA delivered another beat down the P/L, driven by ~4% upside (~\$1B) to Datacenter revenue in CQ2. Importantly, Datacenter strength is broadening across a flurry of expanding products and customers. In CQ2, DC upside was driven by strong Hopper sales for both training and inference, with compute revenue growing by ~162% y/y. H100 remains dominant in the market today, with H200 ramping in the quarter. Further, NVDA noted that Blackwell samples were shipped to customers in the qtr, with management noting "incredible" anticipation. Networking revenue also had impressive growth, up ~114% y/y, with strength across Infiniband and Spectrum-X. Finally, NVDA expects its software, SaaS, and support revenue to approach a \$2b annual run rate exiting this year with NVIDIA AI enterprise notably contributing to growth. Looking forward, the company plans to ship several billion dollars of Blackwell in 4Q, with the production ramp continuing through next year. Further, Hopper shipments are expected to increase in the second half of FY25 (CY24) as supply and availability have improved, countering any doubt about an "air pocket" in demand or revenue performance.
- **Less Good: Gross Margin Outlook; Blackwell "change".** NVDA guided CQ3 GPM to 75.0% at the midpoint, ~50bps below consensus, even as revenue continues to expand. The company also noted full-year GPM would be in the mid-70s range, implying CQ4 would be down again, even on sequentially growing revenue. Management noted several factors, including inventory provisions for lower-yielding Blackwell, and a higher mix of new Datacenter products. The company also acknowledged a "change" in the Blackwell mask, which we suspect is linked to the GPM challenge. We think it's important for investors to recognize that mask changes are neither uncommon nor cause for alarm. As we [previewed](#), we do not believe the company has pushed out deliveries to customers. That's the best way to determine if a product is tracking to expectations, so we see the sell-off as unwarranted and would buy the shares.

EPS	2024A	2025E			2026E		
FYE Jan		New	Old	Cons	New	Old	Cons
Q1	\$0.11	\$0.61	--	\$0.61	\$0.84	\$0.83	\$0.86
Q2	\$0.27	\$0.68	\$0.64	\$0.65	\$0.87	\$0.86	\$0.91
Q3	\$0.40	\$0.73	\$0.71	\$0.71	\$0.95	\$0.93	\$0.96
Q4	\$0.52	\$0.79	\$0.77	\$0.78	\$1.03	\$1.00	\$1.05
Year	\$1.30	\$2.81	\$2.73	\$2.75	\$3.69	\$3.61	\$3.78

Snapshot

In Exhibit 1 we provide a snapshot of NVDA's CQ2 results and CQ3 guidance.

Exhibit 1: NVDA Snapshot

INCOME STATEMENT	Q2 Jul-24				Actual vs. Street	Q3E Oct-24				Guide vs. Street
	Guidance Midpoint	Street	Truist Securities	Actual		Guidance Midpoint	Street	Truist Securities	Truist Securities (new)	
Sales	\$ 28,000.0	\$ 28,736.9	\$ 28,730.3	\$ 30,040.0	4.5%	\$ 32,500.0	\$ 31,714.4	\$ 31,900.0	\$ 32,600.9	2.5%
Change q/q	7.5%	10.3%	10.3%	15.3%		8.2%	10.4%	11.0%	8.5%	
Change y/y	107.3%	112.8%	112.7%	122.4%		79.4%	75.0%	76.0%	79.9%	
Gross profit	21,140.0	21,752.9	21,737.2	22,729.0		24,375.0	23,944.5	24,112.5	24,454.0	
GPM	75.5%	75.7%	75.7%	75.7%	0.0%	75.0%	75.5%	75.6%	75.0%	-0.5%
Operating Income	18,342.8	18,872.6	18,890.1	19,937.0		21,378.3	20,913.9	21,017.0	21,485.8	
OPM	65.5%	65.7%	65.7%	66.4%	0.7%	65.8%	65.9%	65.9%	65.9%	-0.1%
EPS	\$ 0.62	\$ 0.65	\$ 0.64	\$ 0.68	0.04	\$ 0.73	\$ 0.71	\$ 0.71	\$ 0.73	0.02
Original Diluted Shares			24,889.6	24,848.0				24,856.9	24,789.9	

Source: FactSet, Company Data, Truist Securities

End Market Performance

In Exhibit 2 we provide a snapshot of NVDA's CQ2 end market performance and CQ3 estimates.

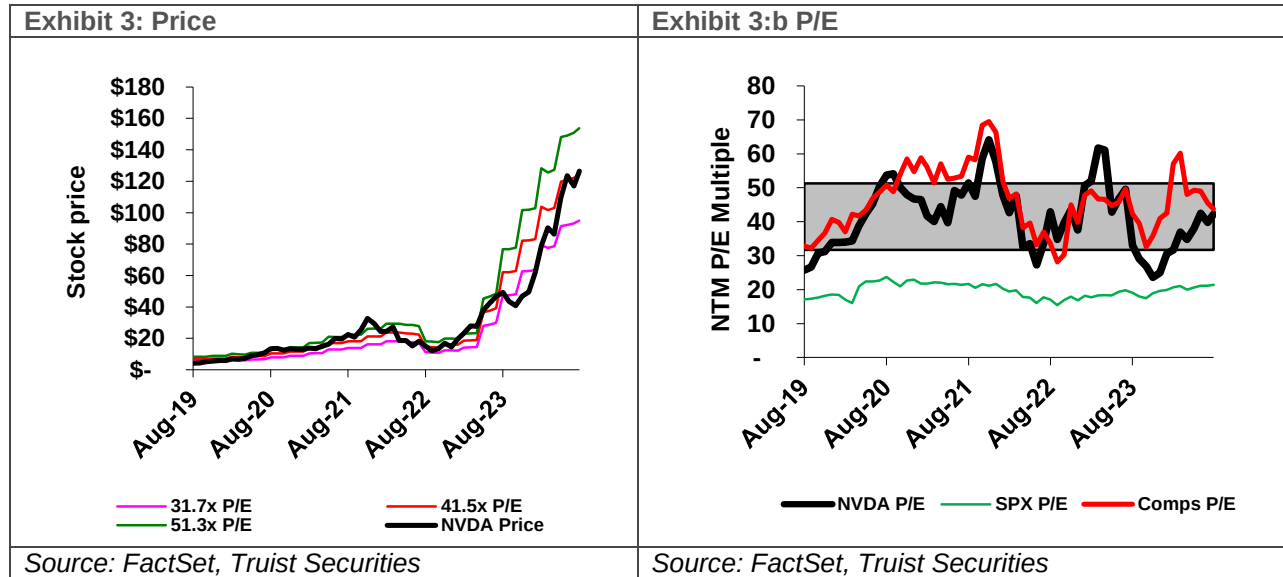
Exhibit 2: NVDA End Market Performance

End Markets	Q2 Jul-24				Actual vs. Street	Q3E Oct-24			
	Guide	Street	Truist Securities	Actual		Guide	Street	Truist Securities	Truist Securities (new)
Datacenter									
Sales		25,239.9	24,932.1	26,272.0	4.1%		28,162.1	27,674.6	28,505.1
% Total		87.8%	86.8%	87.5%			88.8%	86.8%	87.4%
Change q/q		11.8%	10.5%	16.4%			12.2%	11.0%	8.5%
Change y/y		144.9%	141.5%	154.5%			95.4%	90.7%	96.4%
Gaming									
Sales		2,704.9	2,924.9	2,880.0	6.5%		2,943.3	3,305.2	3,182.4
% Total		9.4%	10.2%	9.6%			9.3%	10.4%	9.8%
Change q/q		4.2%	10.5%	8.8%			8.9%	13.0%	10.5%
Change y/y		9.7%	17.7%	15.8%			3.1%	15.7%	11.4%
Professional Visualization									
Sales		449.8	446.2	454.0	0.9%		475.8	481.9	479.0
% Total		1.6%	1.6%	1.5%			1.5%	1.5%	1.5%
Change q/q		5.5%	4.5%	6.3%			5.9%	8.0%	5.5%
Change y/y		18.8%	17.7%	19.8%			14.6%	15.8%	15.1%
Automotive (on-board)									
Sales		344.7	347.1	346.0	0.4%		365.9	357.5	347.7
% Total		1.2%	1.2%	1.2%			1.2%	1.1%	1.1%
Change q/q		4.9%	5.5%	5.2%			6.3%	3.0%	0.5%
Change y/y		36.4%	37.2%	36.8%			40.5%	37.0%	33.2%
OEM & IP									
Sales		77.5	80.0	88.0	13.5%		78.7	80.7	86.7
% Total		0.3%	0.3%	0.3%			0.2%	0.3%	0.3%
Change q/q		-1.0%	2.5%	12.8%			1.6%	1.0%	-1.5%
Change y/y		17.6%	21.1%	33.3%			8.1%	10.6%	18.7%

Source: FactSet, Company Data, Truist Securities

Valuation Methodology

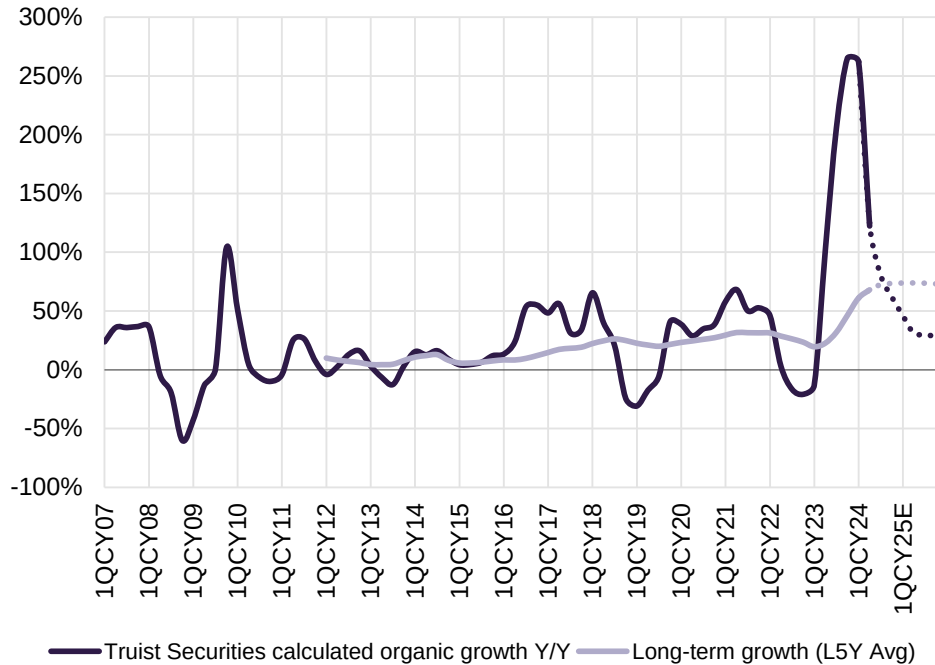
We value NVDA based on a P/E multiple relative to the company's closest peers – high growth tech stocks. In Exhibit 3 we show the history of NVDA's price, and the price implied by applying an EPS multiple of its historical mean, +1 and -1 standard deviation. In Exhibit 3.b we show the P/E multiple of the company, its peers, and the S&P 500 over time.



Cycle Analysis

In the following exhibit, we compare NVDA's estimated organic growth with the company's 5-year average growth.

Exhibit 4: NVDA Cycle performance



Source: FactSet, Company Data, Truist Securities

Exhibit 5: Income Statement (\$ millions)

INCOME STATEMENT (\$m)	2023				2024				2025E				2026E				FY24 CY23 Jan-24	FY25E CY24E Jan-25	FY26E CY25E Jan-26
	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25E	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E			
	Apr-22	Jul-22	Oct-22	Jan-23	Apr-23	Jul-23	Oct-23	Jan-24	Apr-24	Jul-24	Oct-24	Jan-25	Apr-25	Jul-25	Oct-25	Jan-26			
Total revenue	\$ 8,288	\$ 6,704	\$ 5,931	\$ 6,051	\$ 7,192	\$ 13,507	\$ 18,120	\$ 22,103	\$ 26,044	\$ 30,040	\$ 32,601	\$ 35,714	\$ 37,952	\$ 39,245	\$ 42,482	\$ 45,459	\$ 60,922	\$ 124,399	\$ 165,138
Change q/q	8.4%	-19.1%	-11.5%	2.0%	18.9%	87.8%	34.2%	22.0%	17.8%	15.3%	8.5%	9.5%	6.3%	3.4%	8.2%	7.0%	125.9%	104.2%	32.7%
Change y/y	46.4%	3.0%	-16.5%	-20.8%	-13.2%	101.5%	205.5%	265.3%	262.1%	122.4%	79.9%	61.6%	45.7%	30.6%	30.3%	27.3%	125.9%	104.2%	32.7%
Change y/y - Organic	46.4%	3.0%	-16.5%	-20.8%	-13.2%	101.5%	205.5%	265.3%	262.1%	122.4%	79.9%	61.6%	45.7%	30.6%	30.3%	27.3%	125.9%	104.2%	32.7%
COGS	2,725	3,630	2,602	2,052	2,390	3,893	4,537	5,144	5,484	7,311	8,147	9,347	9,824	10,076	10,773	11,403	15,964	30,289	42,076
Gross profit	5,563	3,074	3,329	3,999	4,802	9,614	13,583	16,959	20,560	22,729	24,454	26,367	28,127	29,170	31,709	34,056	44,958	94,110	123,062
GPM	67.1%	45.9%	56.1%	66.1%	66.8%	71.2%	75.0%	76.7%	78.9%	75.7%	75.0%	73.8%	74.1%	74.3%	74.6%	74.9%	73.8%	75.7%	74.5%
R&D	1,225	1,362	1,405	1,414	1,339	1,428	1,581	1,747	1,981	2,241	2,397	2,615	2,746	2,835	3,057	3,261	6,095	9,234	11,899
% of Sales	14.8%	20.3%	23.7%	23.4%	18.6%	10.6%	8.7%	7.9%	7.6%	7.5%	7.4%	7.3%	7.2%	7.2%	7.2%	7.2%	10.0%	7.4%	7.2%
SG&A	390	389	404	399	407	405	445	463	521	551	571	622	654	675	728	776	1,720	2,265	2,832
% of Sales	4.7%	5.8%	6.8%	6.6%	5.7%	3.0%	2.5%	2.1%	2.0%	1.8%	1.8%	1.7%	1.7%	1.7%	1.7%	1.7%	2.8%	1.8%	1.7%
Restructuring & Other	1,353	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
% of Sales	16.3%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Other GAAP 1x Adjustments	1,360	2	16	38	(4)	(5)	-	-	1	-	-	-	-	-	-	-	(9)	1	-
Total OpEx	1,608	1,749	1,793	1,775	1,750	1,838	2,026	2,210	2,501	2,792	2,968	3,237	3,400	3,510	3,785	4,037	7,824	11,498	14,731
% of Sales	19.4%	26.1%	30.2%	29.3%	24.3%	13.6%	11.2%	10.0%	9.6%	9.3%	9.1%	9.1%	9.0%	8.9%	8.9%	8.9%	12.8%	9.2%	8.9%
Operating Income	3,955	1,325	1,536	2,224	3,052	7,776	11,557	14,749	18,059	19,937	21,486	23,129	24,728	25,660	27,924	30,020	37,134	82,611	108,331
OPM	47.7%	19.8%	25.9%	36.8%	42.4%	57.6%	63.8%	66.7%	69.3%	66.4%	65.9%	64.8%	65.2%	65.4%	65.7%	66.0%	61.0%	66.4%	65.6%
Interest Expense	(32)	(11)	35	61	99	61	241	(28)	227	191	361	264	268	274	281	288	373	1,043	1,112
Other expense	(13)	(5)	(11)	(18)	(15)	59	(66)	260	75	189	-	-	-	-	-	-	238	264	-
Net interest & other	(45)	(16)	24	43	84	120	175	232	302	380	361	264	268	274	281	288	611	1,307	1,112
Pretax Income	3,910	1,309	1,560	2,267	3,136	7,896	11,732	14,981	18,361	20,317	21,847	23,393	24,996	25,934	28,205	30,308	37,745	83,918	109,443
Pretax Margin	47.2%	19.5%	26.3%	37.5%	43.6%	58.5%	64.7%	67.8%	70.5%	67.6%	67.0%	65.5%	65.9%	66.1%	66.4%	66.7%	62.0%	67.5%	66.3%
Total Non-GAAP tax adjustments	(280)	(197)	(171)	(218)	(257)	(363)	(433)	(321)	(725)	(750)	(240)	(227)	(231)	(235)	(240)	(244)	(1,374)	(1,942)	(950)
Income Taxes	467	16	104	93	423	1,156	1,712	2,142	3,123	3,365	3,714	3,977	4,249	4,409	4,795	5,152	5,433	14,179	18,605
Tax Rate	11.9%	1.2%	6.7%	4.1%	13.5%	14.6%	14.6%	14.3%	17.0%	16.6%	17.0%	17.0%	17.0%	17.0%	17.0%	17.0%	14.4%	16.9%	17.0%
Income /(loss) from Disc Ops	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Income	3,443	1,293	1,456	2,174	2,713	6,740	10,020	12,839	15,238	16,952	18,133	19,416	20,747	21,526	23,410	25,155	32,312	69,739	90,838
Net Margin	41.5%	19.3%	24.5%	35.9%	37.7%	49.9%	55.3%	58.1%	58.5%	56.4%	55.6%	54.4%	54.7%	54.8%	55.1%	55.3%	53.0%	56.1%	55.0%
EPS	\$ 0.14	\$ 0.05	\$ 0.06	\$ 0.09	\$ 0.11	\$ 0.27	\$ 0.40	\$ 0.52	\$ 0.61	\$ 0.68	\$ 0.73	\$ 0.79	\$ 0.84	\$ 0.87	\$ 0.95	\$ 1.03	\$ 1.30	\$ 2.81	\$ 3.69
Y/Y Growth	48.3%	-50.4%	-50.3%	-33.3%	-19.7%	424.8%	589.6%	487.5%	461.9%	153.0%	82.1%	52.3%	37.3%	28.2%	30.3%	30.8%	288.4%	116.9%	31.5%
Diluted Shares - GAAP	25,370	25,160	24,990	24,770	24,900	24,990	24,940	24,900	24,890	24,848	24,790	24,732	24,674	24,616	24,557	24,499	24,933	24,815	24,586
Non-GAAP Adjustments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Diluted Shares	25,370	25,160	24,990	24,770	24,900	24,990	24,940	24,900	24,890	24,848	24,790	24,732	24,674	24,616	24,557	24,499	24,933	24,815	24,586

Source: Company data and Truist Securities

Exhibit 6: Balance Sheet (\$ millions)

BALANCE SHEET (\$m)	2023				2024				2025E				2026E				FY24 CY23 Jan-24	FY25E CY24E Jan-25	FY26E CY25E Jan-26
	1Q23 Apr-22	2Q23 Jul-22	3Q23 Oct-22	4Q23 Jan-23	1Q24 Apr-23	2Q24 Jul-23	3Q24 Oct-23	4Q24 Jan-24	1Q25 Apr-24	2Q25 Jul-24	3Q25E Oct-24	4Q25E Jan-25	1Q26E Apr-25	2Q26E Jul-25	3Q26E Oct-25	4Q26E Jan-26			
ASSETS																			
Cash and Cash Equivalents	3,887	3,013	2,800	3,389	5,079	5,882	5,519	7,280	7,587	8,571	8,162	10,285	14,628	20,362	26,888	35,352	7,280	10,285	35,352
Marketable Securities	16,451	14,024	10,343	9,907	10,241	10,141	12,762	18,704	23,851	26,229	31,229	36,229	41,229	46,229	51,229	56,229	18,704	36,229	56,229
Accounts Receivables	5,438	5,317	4,908	3,827	4,080	7,066	8,309	9,999	12,365	14,132	14,975	16,007	16,589	16,718	17,625	18,355	9,999	16,007	18,355
Inventories	3,163	3,889	4,454	5,159	4,611	4,319	4,779	5,282	5,864	6,675	9,230	10,569	11,105	11,390	12,170	12,876	5,282	10,569	12,876
Prepaid Expenses & Other Current Assets	636	1,175	718	791	872	1,389	1,289	3,080	4,062	4,026	5,725	7,424	9,123	10,822	12,521	14,220	3,080	7,424	14,220
Deferred Income Taxes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Current Assets	29,575	27,418	23,223	23,073	24,883	28,797	32,658	44,345	53,729	59,633	69,321	80,514	92,673	105,521	120,433	137,031	44,345	80,514	137,031
PP&E - Net	2,916	3,233	3,774	3,807	3,740	3,799	3,844	3,914	4,006	4,885	5,335	5,830	6,338	6,830	7,367	7,934	3,914	5,830	7,934
Goodwill	4,365	4,372	4,372	4,372	4,430	4,430	4,430	4,430	4,453	4,622	4,622	4,622	4,622	4,622	4,622	4,622	4,430	4,622	4,622
Intangible	2,211	2,036	1,850	1,676	1,541	1,395	1,251	1,112	986	952	952	952	952	952	952	952	1,112	952	952
Other Assets	6,145	6,417	7,269	8,254	9,866	11,134	11,965	11,927	13,898	15,135	15,135	15,135	15,135	15,135	15,135	15,135	11,927	15,135	15,135
Total Non-Current Assets	15,637	16,058	17,265	18,109	19,577	20,758	21,490	21,383	23,343	25,594	26,044	26,539	27,047	27,539	28,076	28,643	21,383	26,539	28,643
TOTAL ASSETS	45,212	43,476	40,488	41,182	44,460	49,555	54,148	65,728	77,072	85,227	95,365	107,053	119,720	133,060	148,509	165,675	65,728	107,053	165,675
LIABILITIES																			
Accounts Payable	1,999	2,421	1,491	1,193	1,141	1,929	2,380	2,699	2,715	3,680	4,094	4,688	4,926	5,053	5,399	5,712	2,699	4,688	5,712
Accrued Liabilities and Other	3,563	3,903	4,115	4,120	4,869	7,156	5,472	6,682	11,258	10,289	10,289	10,289	10,289	10,289	10,289	10,289	6,682	10,289	10,289
ST Debt	-	1,249	1,249	1,250	1,250	1,249	1,249	1,250	1,250	-	-	-	-	-	-	-	1,250	-	-
Other current liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Current Liabilities	5,562	7,573	6,855	6,563	7,260	10,334	9,101	10,631	15,223	13,969	14,383	14,977	15,215	15,342	15,688	16,001	10,631	14,977	16,001
LT Debt	10,947	9,700	9,701	9,703	9,704	8,456	8,457	8,459	8,460	8,461	8,461	8,461	8,461	8,461	8,461	8,461	8,459	8,461	8,461
Other LT Liabilities	2,383	2,352	2,583	2,815	2,976	3,264	3,325	3,660	4,247	4,640	4,640	4,640	4,640	4,640	4,640	4,640	3,660	4,640	4,640
Capital Lease	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Commitments and Contingencies	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Non-Current Liabilities	13,330	12,052	12,284	12,518	12,680	11,720	11,782	12,119	12,707	13,101	13,101	13,101	13,101	13,101	13,101	13,101	12,119	13,101	13,101
TOTAL LIABILITIES	18,892	19,625	19,139	19,081	19,940	22,054	20,883	22,750	27,930	27,070	27,484	28,078	28,316	28,443	28,789	29,102	22,750	28,078	29,102
TOTAL SHAREHOLDER'S EQUITY	26,320	23,851	21,349	22,101	24,520	27,501	33,265	42,978	49,142	58,157	67,880	78,975	91,404	104,618	119,720	136,573	42,978	78,975	136,573
TOTAL LIABILITIES & EQUITY	45,212	43,476	40,488	41,182	44,460	49,555	54,148	65,728	77,072	85,227	95,365	107,053	119,720	133,060	148,509	165,675	65,728	107,053	165,675

Source: Company data and Truist Securities

Exhibit 7: Cash Flows (\$ millions)

CASH FLOWS (\$m)	2023				2024				2025E				2026E				FY24	FY25E	FY26E
	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25E	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E	FY24	FY25E	FY26E
	Apr-22	Jul-22	Oct-22	Jan-23	Apr-23	Jul-23	Oct-23	Jan-24	Apr-24	Jul-24	Oct-24	Jan-25	Apr-25	Jul-25	Oct-25	Jan-26	Jan-24	Jan-25	Jan-26
Cash at start of period	1,990.0	3,887.0	3,013.0	2,800.0	3,389.0	5,079.0	5,882.0	5,519.0	7,280.0	7,587.0	8,571.0	8,162.2	10,285.0	14,627.8	20,361.7	26,887.9	3,389.0	7,280.0	10,285.0
Operating Cash Flow																			
Net Income	1,618	656	680	1,414	2,043	6,188	9,243	12,285	14,881	16,599	16,963	18,308	19,618	20,376	22,240	23,964	29,759	66,751	86,198
Stock-based comp	578	648	745	738	735	842	979	993	1,011	1,154	1,310	1,335	1,360	1,385	1,410	1,435	3,549	4,810	5,590
Depreciation & Amortization	334	378	406	426	384	365	372	387	410	433	528	577	630	685	738	796	1,508	1,948	2,850
Deferred income taxes	(542)	(443)	(532)	(647)	(1,135)	(746)	(529)	(78)	(1,577)	(1,699)	(1,699)	(1,699)	(1,699)	(1,699)	(1,699)	(1,699)	(2,488)	(6,674)	(6,796)
Excess tax benefits from stock-based comp	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other	1,393	2	(34)	30	(20)	(129)	3	(369)	(214)	(337)	-	-	-	-	-	-	(515)	(551)	-
Change in Working Capital	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Cash Provided by Operating Activities	1,731	1,270	392	2,249	2,911	6,348	7,333	11,499	15,345	14,489	15,818	18,442	20,729	22,158	23,047	25,073	28,091	64,094	91,007
Investing Cash Flow																			
Purchase of securities	(4,293)	(3,644)	(2,188)	(2,133)	(2,801)	(2,542)	(5,345)	(7,524)	(9,303)	(5,744)	(5,000)	(5,000)	(5,000)	(5,000)	(5,000)	(5,000)	(18,212)	(25,047)	(20,000)
Sale of securities	6,976	5,738	5,884	2,633	2,512	2,598	2,891	1,781	4,153	4,109	(978)	(1,071)	(1,139)	(1,177)	(1,274)	(1,364)	9,782	8,262	-
Capex	(361)	(433)	(530)	(509)	(248)	(289)	(278)	(253)	(369)	(977)	(978)	(1,071)	(1,139)	(1,177)	(1,274)	(1,364)	(1,068)	(3,395)	(4,954)
Acquisitions	(36)	(13)	-	-	(83)	-	-	-	-	(279)	-	-	-	-	-	-	(83)	(279)	-
Other	326	(30)	(18)	5	(221)	(214)	(437)	(113)	(174)	(294)	-	-	-	-	-	-	(985)	(468)	-
Net Cash Provided from Investing Activities	2,612	1,618	3,148	(4)	(841)	(447)	(3,169)	(6,109)	(5,693)	(3,185)	(5,978)	(6,071)	(6,139)	(6,177)	(6,274)	(6,364)	(10,566)	(20,927)	(24,954)
Financing Cash Flow																			
Proceeds from issuance of debt	-	-	-	-	-	(1,250)	-	-	-	(1,250)	-	-	-	-	-	-	(1,250)	(1,250)	-
Proceeds from issuance of common stock	204	1	143	-	246	1	156	-	285	-	-	-	-	-	-	-	403	285	-
Payments under capital lease	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Tax benefits from stock-based comp	(532)	(305)	(294)	(344)	(507)	(672)	(764)	(841)	(1,752)	(1,637)	-	-	-	-	-	-	(2,784)	(3,389)	-
Payments for repurchase of common stock	(1,996)	(3,345)	(3,485)	(1,212)	-	(3,067)	(3,806)	(2,660)	(7,740)	(7,158)	(10,000)	(10,000)	(10,000)	(10,000)	(10,000)	(10,000)	(9,533)	(34,898)	(40,000)
Dividend paid	(100)	(100)	(100)	(98)	(99)	(99)	(99)	(99)	(98)	(246)	(248)	(248)	(247)	(247)	(246)	(246)	(396)	(840)	(986)
Other	(22)	(13)	(17)	(2)	(20)	(11)	(14)	(29)	(40)	(29)	-	-	-	-	-	-	(74)	(69)	-
Net Cash Used for Financing Activities	(2,446)	(3,762)	(3,753)	(1,656)	(380)	(5,098)	(4,527)	(3,629)	(9,345)	(10,320)	(10,248)	(10,248)	(10,247)	(10,247)	(10,246)	(10,246)	(13,634)	(40,161)	(40,986)
Effect of Exchange Rates	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Change in Cash	1,897	(874)	(213)	589	1,690	803	(363)	1,761	307	984	(409)	2,123	4,343	5,734	6,526	8,464	3,891	3,005	25,067
Cash at End of Period	3,887	3,013	2,800	3,389	5,079	5,882	5,519	7,280	7,587	8,571	8,162	10,285	14,628	20,362	26,888	35,352	7,280	10,285	35,352

Source: Company data and Truist Securities

Exhibit 8: End markets (\$ millions)

END MARKETS (\$m)	2023				2024				2025E				2026E				FY24	FY25E	FY26E
	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25E	4Q25E	1Q26E	2Q26E	3Q26E	4Q26E	FY24	FY25E	FY26E
	Apr-22	Jul-22	Oct-22	Jan-23	Apr-23	Jul-23	Oct-23	Jan-24	Apr-24	Jul-24	Oct-24	Jan-25	Apr-25	Jul-25	Oct-25	Jan-26	CY23	CY24E	CY25E
Total revenue	8,288	6,704	5,931	6,051	7,192	13,507	18,120	22,103	26,044	30,040	32,601	35,714	37,952	39,245	42,482	45,459	60,922	124,399	165,138
Change q/q	8.4%	-19.1%	-11.5%	2.0%	18.9%	87.8%	34.2%	22.0%	17.8%	15.3%	8.5%	9.5%	6.3%	3.4%	8.2%	7.0%			
Change y/y	46.4%	3.0%	-16.5%	-20.8%	-13.2%	101.5%	205.5%	265.3%	262.1%	122.4%	79.9%	61.6%	45.7%	30.6%	30.3%	27.3%	125.9%	104.2%	32.7%
Change y/y - Organic	46.4%	3.0%	-16.5%	-20.8%	-13.2%	101.5%	205.5%	265.3%	262.1%	122.4%	79.9%	61.6%	45.7%	30.6%	30.3%	27.3%	125.9%	104.2%	32.7%
Datacenter																			
Revenues	3,750.0	3,806.0	3,833.0	3,616.0	4,284.0	10,323.0	14,514.0	18,404.0	22,563.0	26,272.0	28,505.1	31,640.7	34,171.9	35,197.1	38,012.9	41,053.9	47,525.0	108,980.8	148,435.8
% total	45.2%	56.8%	64.6%	59.8%	59.6%	76.4%	80.1%	83.3%	86.6%	87.5%	87.4%	88.6%	90.0%	89.7%	89.5%	90.3%	78.0%	87.6%	89.9%
Change q/q	14.9%	1.5%	0.7%	-5.7%	18.5%	141.0%	40.6%	26.8%	22.6%	16.4%	8.5%	11.0%	8.0%	3.0%	8.0%	8.0%			
Change y/y	83.1%	60.9%	30.6%	10.8%	14.2%	171.2%	278.7%	409.0%	426.7%	154.5%	96.4%	71.9%	51.5%	34.0%	33.4%	29.8%	216.7%	129.3%	36.2%
Guidance q/q	Up biggest	Up strong q/q	Up q/q	Up q/q	Up q/q and y	Most of q/q	gr Most of q/q	gr Strong q/q	gr Up q/q	Up q/q									
Consensus - pre-earnings	3,580	3,809	3,732	3,845	3,895	8,014	12,984	17,062	21,320	25,240	28,162	31,639	34,215	36,106	39,142	44,513	41,955	106,361	153,975
Gaming																			
Revenues	3,620	2,042	1,574	1,831	2,240	2,486	2,856	2,865	2,647	2,880	3,182	3,119	2,807	3,031	3,395	3,293	10,447	11,828	12,527
% total	43.7%	30.5%	26.5%	30.3%	31.1%	18.4%	15.8%	13.0%	10.2%	9.6%	9.8%	8.7%	7.4%	7.7%	8.0%	7.2%	17.1%	9.5%	7.6%
Change q/q	5.8%	-43.6%	-22.9%	16.3%	22.3%	11.0%	14.9%	0.3%	-7.6%	8.8%	10.5%	-2.0%	-10.0%	8.0%	12.0%	-3.0%			
Change y/y	31.2%	-33.3%	-51.1%	-46.5%	-38.1%	21.7%	81.4%	56.5%	18.2%	15.8%	11.4%	8.9%	6.0%	5.3%	6.7%	5.6%	15.2%	13.2%	5.9%
Guidance q/q	Up small q/q	Dn q/q	teens down q/q	Up q/q	Up	Up q/q	Dn q/q	Seasonal	Dex Up q/q	Up q/q									
Consensus - pre-earnings	3,456	2,013	1,442	1,588	1,971	2,401	2,675	2,728	2,627	2,705	2,943	2,949	2,799	2,924	3,180	3,144	9,776	11,225	12,048
Professional Visualization																			
Revenues	622	496	200	226	295	379	416	463	427	454	479	498	498	523	560	576	1,553	1,858	2,157
% total	7.5%	7.4%	3.4%	3.7%	4.1%	2.8%	2.3%	2.1%	1.6%	1.5%	1.5%	1.4%	1.3%	1.3%	1.3%	1.3%	2.5%	1.5%	1.3%
Change q/q	-3.3%	-20.3%	-59.7%	13.0%	30.5%	28.5%	9.8%	11.3%	-7.8%	6.3%	5.5%	4.0%	0.0%	5.0%	7.0%	3.0%			
Change y/y	67.2%	-4.4%	-65.3%	-64.9%	-52.6%	-23.6%	108.0%	104.9%	44.7%	19.8%	15.1%	7.6%	16.7%	15.2%	16.8%	15.7%	0.6%	19.6%	16.1%
Guidance q/q		down q/q	Flat	Up	Up q/q	Up q/q	Growth	Up q/q											
Consensus - pre-earnings	621	500	371	209	248	324	389	422	465	450	476	496	468	488	512	526	1,383	1,887	1,994
Automotive (on-board)																			
Revenues	138	220	251	294	296	253	261	281	329	346	348	369	387	406	427	448	1,091	1,391	1,668
% total	1.7%	3.3%	4.2%	4.9%	4.1%	1.9%	1.4%	1.3%	1.3%	1.2%	1.1%	1.0%	1.0%	1.0%	1.0%	1.0%	1.8%	1.1%	1.0%
Change q/q	10.4%	59.4%	14.1%	17.1%	0.7%	-14.5%	3.2%	7.7%	17.1%	5.2%	0.5%	6.0%	5.0%	5.0%	5.0%	5.0%			
Change y/y	-10.4%	44.7%	85.9%	135.2%	114.5%	15.0%	4.0%	-4.4%	11.1%	36.8%	33.2%	31.2%	17.6%	17.4%	22.7%	21.6%	20.8%	27.5%	19.9%
Guidance q/q	Up q/q	Up q/q	up q/q	Up q/q	Up				Up q/q										
Consensus - pre-earnings	147	220	229	262	305	312	266	275	304	345	366	396	435	465	491	536	1,157	1,411	1,927
OEM & IP																			
Revenues	158	140	73	84	77	66	73	90	78	88	87	88	88	88	88	88	306	340	350
% total	1.9%	2.1%	1.2%	1.4%	1.1%	0.5%	0.4%	0.4%	0.3%	0.3%	0.3%	0.2%	0.2%	0.2%	0.2%	0.2%	0.5%	0.3%	0.2%
Change q/q	-17.7%	-11.4%	-47.9%	15.1%	-8.3%	-14.3%	10.6%	23.3%	-13.3%	12.8%	-1.5%	1.0%	0.0%	0.0%	0.0%	0.0%	-32.7%	11.2%	2.9%
Change y/y	-51.7%	-65.8%	-68.8%	-56.3%	-51.3%	-52.9%	0.0%	7.1%	1.3%	33.3%	18.7%	-2.7%	12.2%	-0.5%	1.0%	0.0%			
Guidance q/q																			
Consensus - pre-earnings	193	130	129	85	95	92	75	82	88	78	79	81	86	88	87	89	344	326	351

Source: Company data and Truist Securities

Company Description

NVIDIA Corp. engages in the design and manufacture of computer graphics processors, chipsets, and related multimedia software. It operates through the following segments: Graphics Processing Unit (GPU) and Compute & Networking. The Graphics segment includes GeForce GPUs for gaming and PCs, the GeForce NOW game streaming service and related infrastructure, Quadro and NVIDIA RTX GPUs for enterprise workstation graphics, virtual GPU, or vGPU, software for cloud-based visual and virtual computing, automotive platforms for infotainment systems, and Omniverse Enterprise software for building and operating metaverse and 3D internet applications. The Compute & Networking segment consists of Data Center accelerated computing platforms and end-to-end networking platforms including Quantum for InfiniBand and Spectrum for Ethernet, NVIDIA DRIVE automated-driving platform and automotive development agreements, Jetson robotics and other embedded platforms, NVIDIA AI Enterprise and other software, and DGX Cloud software and services. The company was founded by Jen Hsun Huang, Chris A. Malachowsky, and Curtis R. Priem in April 1993 and is headquartered in Santa Clara, CA.

Investment Thesis

We view NVDA as *the* AI company: a sustainable leader in massive parallel and heterogeneous compute chips, software, and recently services, to enable AI & related applications. We see NVDA's leadership as driven less by the raw performance of its chips, and more by its culture of innovation, ecosystem of incumbency, and massive investment in software, AI models, and services, that we believe makes its chips a default choice for most engineers building AI systems. We expect NVDA's superior positioning in gaming, server acceleration/AI and, eventually, autonomous driving, will lead to ongoing structural fundamental growth and stock outperformance. We rate the shares Buy.

Valuation and Risks

Our \$148 price target is based on ~40x (5x discount to hi-growth semi peers) applied to our CY25 EPS estimate of \$3.69.

Risks to our rating and price target:

Investors should consider risks associated with investing in NVDA that are linked to the macroeconomy, to the GPU industry, and to the company specifically. We also note a risk of peer multiple contraction used to derive our Target Price.

Company-specific risks: The most relevant company-specific downside risks relate to slower than expected adoption of AI by customers, weak demand in the gaming end market, increased competition in gaming, a lack of growth / product adoption in the data center, a lack of growth / product adoption in the automotive market, and if licensing revenue cannot be replaced.

Analyst Certification

I, William Stein, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject company(ies) and its (their) securities. I also certify that I have not been, am not, and will not be receiving direct or indirect compensation in exchange for expressing the specific recommendation(s) in this report.

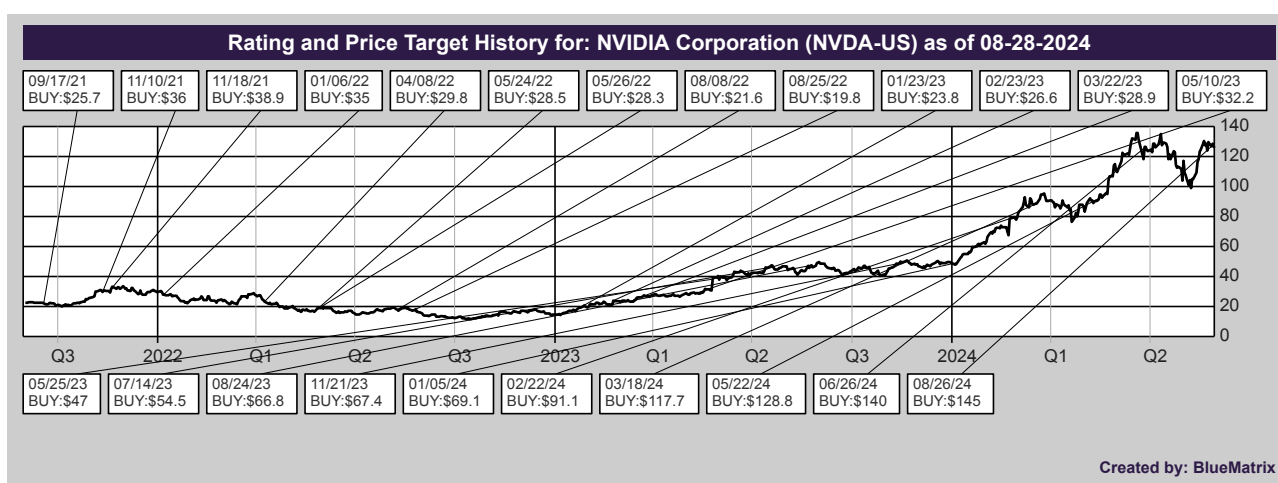
Required Disclosures

Truist Securities, Inc. makes a market in the following company: NVDA-US

The research analyst or a member of the research analyst's household has a financial interest in the form of a long position for the following company: NVDA-US

Analyst compensation is based upon stock price performance, quality of analysis, communication skills, and the overall revenue and profitability of the firm, including investment banking revenue.

As a matter of policy and practice, the firm prohibits the offering of favorable research, a specific research rating or a specific target price as consideration or inducement for the receipt of business or compensation. In addition, associated persons preparing research reports are prohibited from owning securities in the subject companies.



Important Disclosures on Equity Research Dissemination, Ratings, Designations, and Coverage Universe

Dissemination of Research

Truist Securities, Inc. ("Truist Securities") seeks to make all reasonable efforts to provide research reports simultaneously to all eligible clients. Reports are available as published in the restricted access area of our website to all eligible clients who have requested a password. Institutional investors, corporates, and members of the Press may also receive our research via third party vendors including: Thomson Reuters, Bloomberg, FactSet, and S&P Capital IQ. Additional distribution may be done by sales personnel via email, fax, or other electronic means, or regular mail.

For access to third party vendors or our Research website: <https://truistresearch.bluematrix.com/client/library.jsp>

Please email the Research Department at EquityResearchDepartment@truist.com or contact your Truist Securities sales representative.

Truist Securities Rating System for Equity Securities

Truist Securities, Inc. ("Truist Securities") rates individual equities using a three-tiered system. Each stock is rated relative to the broader market (generally the S&P 500) over the next 12-18 months (unless otherwise indicated).

Buy (B) – the stock's total return is expected to outperform the S&P 500 or relevant benchmark over the next 12-18 months (unless otherwise indicated)

Hold (H) – the stock's total return is expected to perform in line with the S&P 500 or relevant benchmark over the next 12-18 months (unless otherwise indicated)

Sell (S) – the stock's total return is expected to underperform the S&P 500 or relevant benchmark over the next 12-18 months (unless otherwise indicated)

Not Rated (NR) – Truist Securities does not have an investment rating or opinion on the stock

Coverage Suspended (CS) – indicates that Truist Securities' rating and/or target price have been temporarily suspended due to applicable regulations and/or Truist Securities Management discretion. The previously published rating and target price should not be relied upon.

Truist Securities analysts have a price target on the stocks that they cover, unless otherwise indicated. The price target represents that analyst's expectation of where the stock will trade in the next 12-18 months (unless otherwise indicated). If an analyst believes that there are insufficient valuation drivers and/or investment catalysts to derive a positive or negative investment view, they may elect with the approval of Truist Securities Research Management not to assign a target price; likewise certain stocks that trade under \$5 may exhibit volatility whereby assigning a price target would be unhelpful to making an investment decision. As such, with Research Management's approval, an analyst may refrain from assigning a target to a sub-\$5 stock.

Legend for Rating and Price Target History Charts:

B = Buy

H = Hold

S = Sell

D = Drop Coverage

CS = Coverage Suspended

NR = Not Rated

I = Initiate Coverage

T = Transfer Coverage

Truist Securities ratings distribution (as of 08/28/2024):

Coverage Universe			Investment Banking Clients Past 12 Months		
Rating	Count	Percent	Rating	Count	Percent
Buy	434	63.27%	Buy	60	13.82%
Hold	250	36.44%	Hold	34	13.60%
Sell	2	0.29%	Sell	0	0.00%

Other Disclosures

Information contained herein has been derived from sources believed to be reliable but is not guaranteed as to accuracy and does not purport to be a complete analysis of the security, company or industry involved. This report is not to be construed as an offer to sell or a solicitation of an offer to buy any security. Truist Securities, Inc. and/or its officers or employees may have positions in any securities, options, rights or warrants. The firm and/or associated persons may sell to or buy from customers on a principal basis. Investors may be prohibited in certain states from purchasing some over the-counter securities mentioned herein. Opinions expressed are subject to change without notice.

Truist Securities, Inc.'s research is primarily provided to and intended for use by Institutional Accounts as defined in FINRA Rule 4512(c). The term "Institutional Account" shall mean the account of: (1) a bank, savings and loan association, insurance company or registered investment company; (2) an investment adviser registered either with the SEC under Section 203 of the Investment Advisers Act or with a state securities commission (or any agency or office performing like functions); or (3) any other person (whether a natural person, corporation, partnership, trust or otherwise) with total assets of at least \$50 million. In addition, certain affiliates of Truist Securities, Inc., including Truist Investment Services, Inc. (an SEC registered broker-dealer and a member of FINRA, SIPC) and Truist Advisory Services, Inc. (an investment adviser registered with the SEC), may make Truist Securities, Inc. research available, upon request, to certain of their clients from time to time.

Truist Securities, Inc. is a registered broker-dealer and a member of FINRA and SIPC. It is a service mark of Truist Financial Corporation. Truist Securities, Inc. is owned by Truist Financial Corporation and affiliated with Truist Investment Services, Inc. Despite this affiliation, securities recommended, offered, sold by, or held at Truist Securities, Inc. or Truist Investment Services, Inc. (i) are not insured by the Federal Deposit Insurance Corporation; (ii) are not deposits or other obligations of any insured depository institution (including Truist Bank); and (iii) are subject to investment risks, including the possible loss of the principal amount invested. Truist Bank may have a lending relationship with companies mentioned herein. Certain clients may compensate Truist Securities, Inc. for research via hard dollar payments, and Truist Securities, Inc. may be deemed to be an investment adviser to such clients as a result of such payments.

Please see our Disclosure Database to search by ticker or company name for the current required disclosures, including valuation and risks. Link: <https://truist.bluematrix.com/sellside/Disclosures.action>

Please visit the Truist Securities equity research library for current reports and the analyst roster with contact information. Link: <https://truistresearch.bluematrix.com/client/library.jsp>

Truist Securities, Inc., member FINRA and SIPC. Truist, Truist Bank, Truist Securities, Truist Investment Services, and Truist Advisory Services are service marks of Truist Financial Corporation.

If you no longer wish to receive this type of communication, please request removal by sending an email to EquityResearchDepartment@truist.com

© Truist Securities, Inc. 2024. All rights reserved. Reproduction or quotation in whole or part without permission is forbidden.

ADDITIONAL INFORMATION IS AVAILABLE at our website, TruistSecurities.com, or by writing to: Truist Securities, Research Department, 3333 Peachtree Road N.E., Atlanta, GA 30326-1070